

Microsoft Corporation

MSFT — Annual Report on Form 10-K (Illustrative)

Fiscal Year Ended June 30, 2025

Filed with the Securities and Exchange Commission (synthetic)

Item 1. Business Overview

Microsoft Corporation develops, licenses, and supports software products, services, devices, and solutions. The Company reports results across three segments: Productivity and Business Processes (Microsoft 365, LinkedIn, Dynamics), Intelligent Cloud (Azure and server products), and More Personal Computing (Windows, devices, gaming, and search advertising). Azure and other cloud services within the Intelligent Cloud segment have become the Company's fastest growing revenue driver, benefiting from enterprise cloud migration and demand for AI infrastructure and services built on the Company's strategic partnership with OpenAI.

The Company continues to integrate generative AI capabilities, branded Copilot, across its productivity, developer, and cloud product lines, positioning this as a multi-year monetization opportunity layered on top of its existing enterprise software installed base. As of fiscal year-end, the Company employed approximately 228,000 people worldwide.

Item 1A. Risk Factors

- Capital intensity of AI infrastructure: sustaining Azure AI capacity requires substantial and increasing capital expenditure on data centers and specialized accelerator hardware, which could pressure free cash flow if AI-related revenue growth does not keep pace with spending.
- Dependence on strategic partnerships: a meaningful portion of the Company's AI product roadmap depends on its commercial relationship with OpenAI; any deterioration in that relationship could affect the pace of AI feature delivery across Microsoft's product lines.
- Competitive intensity in cloud infrastructure: Azure competes directly with Amazon Web Services and Google Cloud for enterprise cloud and AI infrastructure workloads, an intensely competitive market on both price and capability.
- Regulatory and antitrust scrutiny: the Company's scale across productivity software, cloud infrastructure, and AI products has drawn increased regulatory attention in the United States, European Union, and other jurisdictions, including inquiries related to cloud licensing practices and AI partnership structures.
- Cybersecurity risk: as a large enterprise software and cloud provider, the Company is a frequent target of sophisticated cyberattacks; a significant security incident could damage customer trust and result in remediation costs and regulatory exposure.
- Talent and compute concentration risk: competition for specialized AI research talent and constrained global supply of advanced accelerator hardware could limit the pace at which the Company can scale Azure AI capacity relative to demand.

Item 7. Management's Discussion and Analysis

Fiscal 2025 revenue growth was led by the Intelligent Cloud segment, with Azure revenue growth in the low-30% range year-over-year, reflecting continued enterprise migration to cloud infrastructure and growing consumption of

AI services. Management noted that a meaningful and growing share of Azure's growth rate is now attributable specifically to AI services, though the majority of Azure revenue continues to come from core cloud infrastructure and platform services.

Operating margin expanded modestly year-over-year despite elevated capital expenditure, as efficiency gains in the Productivity and Business Processes segment and continued Microsoft 365 Copilot seat growth offset a portion of increased data center and AI infrastructure investment. Capital expenditure, including finance leases, rose meaningfully year-over-year to fund data center capacity additions supporting both core cloud and AI workloads.

Consolidated Income Statement Summary

(\$ in millions)	FY2025	FY2024
Revenue	\$265,122	\$242,732
Cost of revenue	\$85,606	\$79,700
Gross profit	\$179,516	\$163,032
Operating expenses	\$66,318	\$61,575
Operating income	\$113,198	\$101,457
Net income	\$91,388	\$88,136
Diluted EPS	\$12.22	\$11.80

Balance Sheet Highlights

(\$ in millions)	FY2025	FY2024
Cash, cash equivalents & short-term investments	\$78,430	\$75,543
Total assets	\$559,120	\$512,163
Total liabilities	\$225,340	\$243,686
Total stockholders' equity	\$333,780	\$268,477

Revenue by Segment

Segment	FY2025 Revenue	FY2024 Revenue	YoY Growth
Intelligent Cloud	\$118.4B	\$105.4B	+12%
Productivity & Business Processes	\$84.6B	\$77.7B	+9%
More Personal Computing	\$62.1B	\$59.6B	+4%

Total Revenue	\$265.1B	\$242.7B	+9%
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Competitive Landscape

In cloud infrastructure, Microsoft's principal competitors are Amazon Web Services and Google Cloud Platform. In productivity software, the Company competes with Google Workspace and a range of specialized SaaS providers. In AI, Microsoft's Copilot product line competes with offerings from Google, and with a growing set of AI-native productivity startups. Management views deep integration between Azure infrastructure, the OpenAI partnership, and the Microsoft 365 installed base as its primary source of differentiation.

Outlook

Management expects Intelligent Cloud segment growth to remain in the low-30% range over the coming fiscal year, with AI services contributing an increasing share of that growth. Management indicated that capital expenditure growth is expected to moderate on a percentage basis as infrastructure build-out shifts from broad capacity addition toward more targeted, efficiency-focused investment, though absolute spending levels are expected to remain elevated.